1.0 Economic Growth

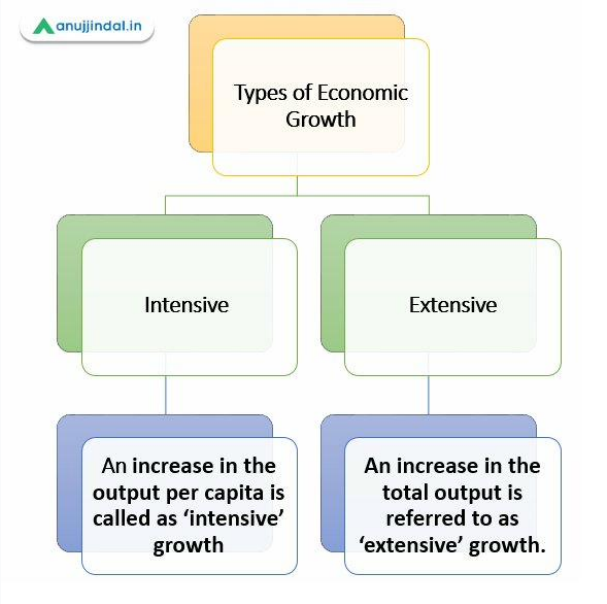
1.1 Meaning and Importance

Economic growth is an increase in the level of output of goods and services sustained over a long period of time, measured in terms of value added.

Economic growth rate = (Change in GDP) / (Last Year's GDP) × 100

- In economics, growth theory typically refers to growth of **potential output** (i.e., production at full employment).
- Economic growth is essentially a **dynamic concept** — a continuous expansion in the level of output.
- **Commodity Market:** Growth leads to increased output and newer, better products.
- **Factor Market:** Growth brings improvements in workforce skills and more efficient machinery.
- **Structural Shift:** Growth moves an economy from rural/agriculture-based to urban/industry-dominated.

Types of Economic Growth



1.2 Importance of Economic Growth

- Poverty alleviation
- Wider availability for human choices and economic activities
- Resolves social issues
- Improves standard of living
- Better technology

1.3 Factors Affecting Economic Growth

Capital Formation (Investment) — More capital investment → more production → more economic growth.

Capital-Output Ratio — Units of capital required to produce one unit of output. A *lower* ratio indicates higher efficiency, potentially freeing capital for further investment and spurring innovation.

Occupational Structure — Efficient utilisation of labour boosts the overall productivity of the economy.

Technological Progress — Technology enables more output from the same quantity of resources, boosting potential output.

1.4 Limitations of Economic Growth

- **Inequality of Income** — In early development stages, growth tends to worsen income distribution.
- **Pollution and Negative Externalities** — Increased output pressures the environment, causing pollution and degradation.
- **Loss of Non-Renewable Resources** — More production demands more resources, depleting non-renewables.

2.0 Economic Development

2.1 Meaning and Importance

Economic development refers to a sustained, long-term increase in the economic well-being, standard of living, and overall prosperity of a country or region. It is a **broader concept** that includes economic growth — without growth, development cannot happen.

It encompasses improvements beyond mere GDP growth: quality of life, poverty and inequality reduction, technology, infrastructure, education, healthcare, and social institutions.

Importance of Economic Development

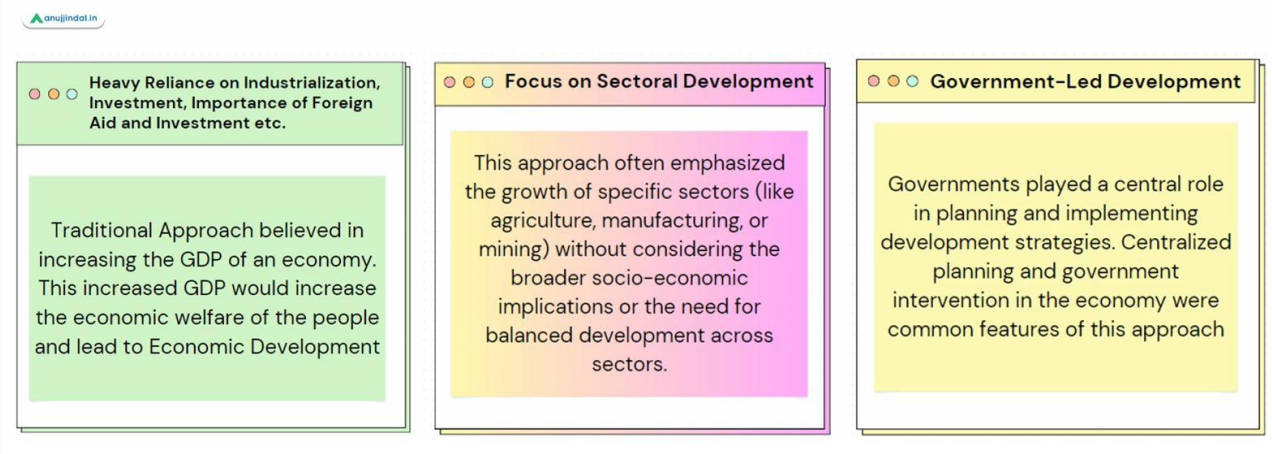
- Improved Quality of Life
- Poverty Reduction
- Enhanced Human Capital
- Increased Employment
- Stimulated Innovation and Technological Advancement
- Infrastructure Development
- Social Stability and Equity
- Environmental Sustainability
- Institutional and Political Stability

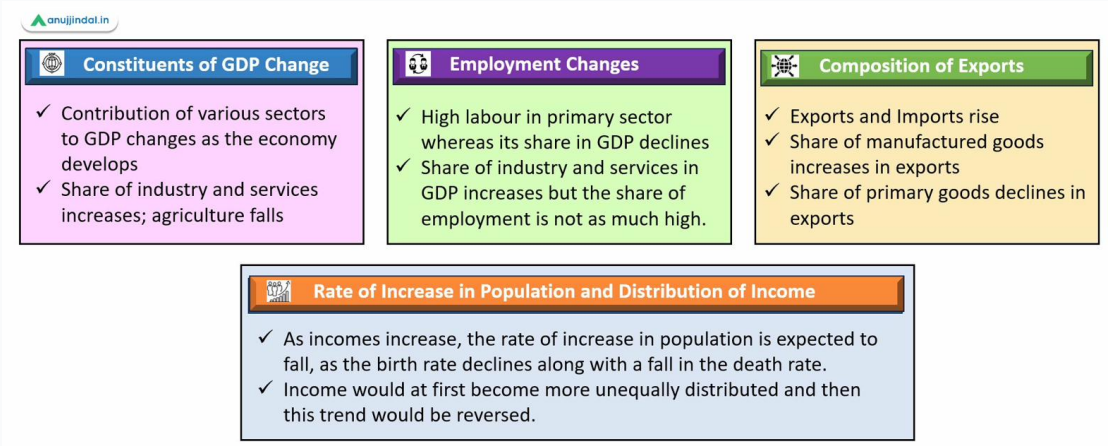
2.2 Evolution of Economic Development

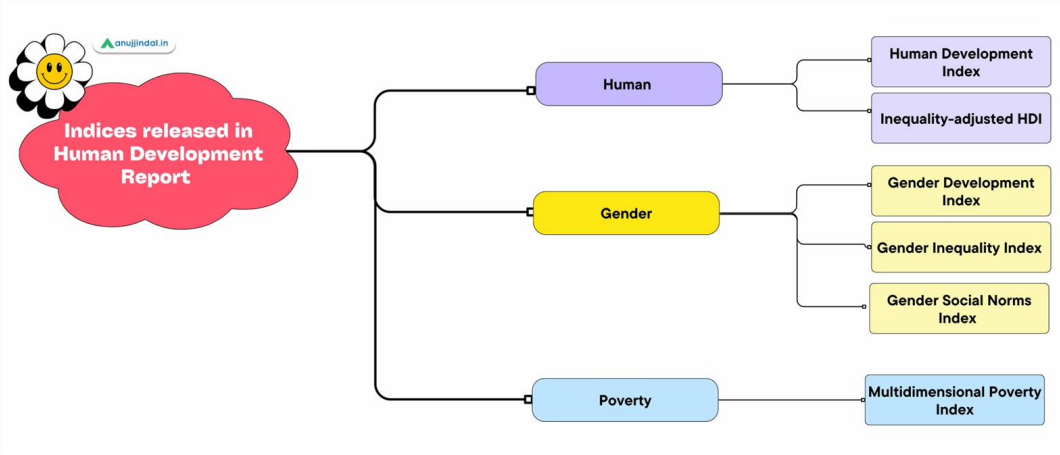
Till the 1960s, economic development was often used as a synonym of economic growth. Over time, two different approaches emerged:

- **Traditional Approach** — Economic growth converts into economic development; believed in sustained annual GDP growth of 5–7%; structural transformation from agrarian to industrial economy.
- **Modern Approach** — Measures development on a broader, multidimensional level beyond GDP growth.

2.3 Traditional Approach – Key Features







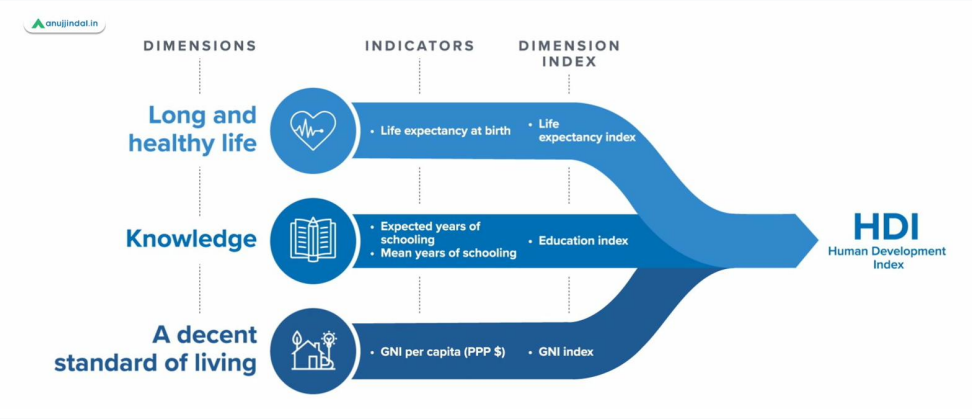
3.0 Economic Growth vs Economic Development

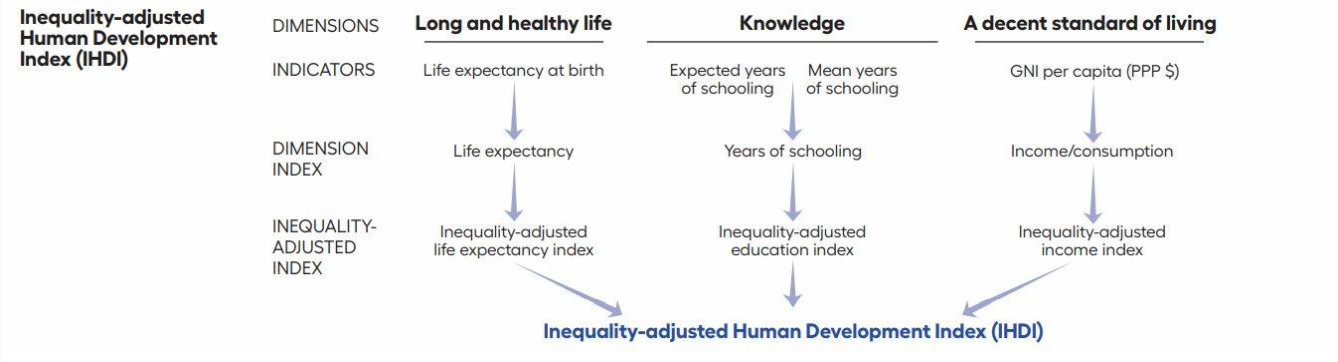
Basis	Economic Growth	Economic Development
Meaning	Increase in output level sustained over time.	Quantitative AND qualitative changes in the economy.
Parameters	Rise in GDP or market productivity.	Health, education, employment, gender, environment, etc.

Basis	Economic Growth	Economic Development
Nature	Quantitative changes only.	Both quantitative and qualitative.
Scope	Narrow.	Broad.
Measurement	GDP, GNP, etc.	HDI, Gender Inequality Index, GDI, etc.

4.0 Economic Development and Structural Changes

Econometricians have attempted to measure structural changes in economies as development proceeds. Pioneering work was done by **Prof. Simon Kuznets** (historical data). **Hollis Chenery** extended and refined the study using current data.





5.0 Indices to Measure Economic Development

5.1 Human Development Report & Its Components

5.1.1 Human Development Index (HDI)

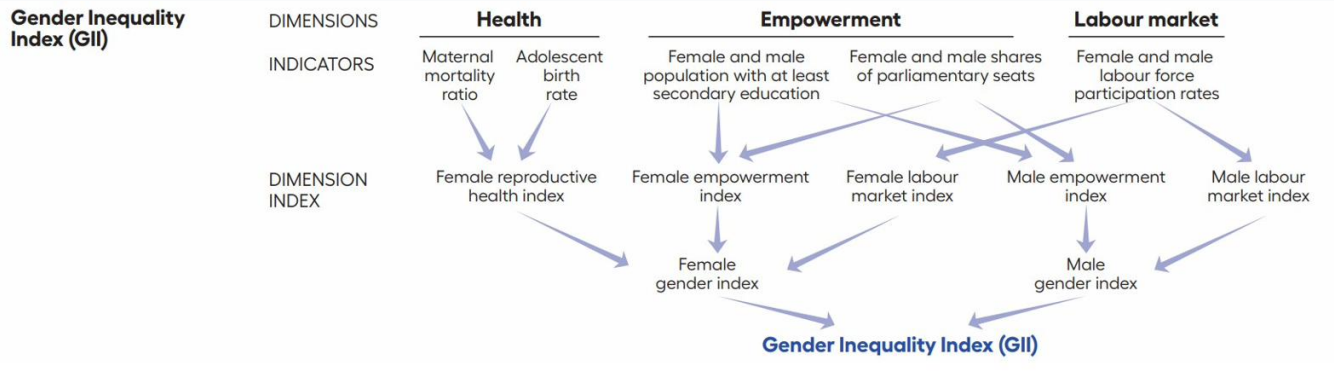
Origin: 1990

Released by: United Nations Development Programme (UNDP)

Purpose: Emphasise that people and their capabilities — not economic growth alone — should be the ultimate criteria for assessing a country's development.

Coverage: 191 countries (subject to change)

Index range: 0 (lowest) to 1 (highest human development)



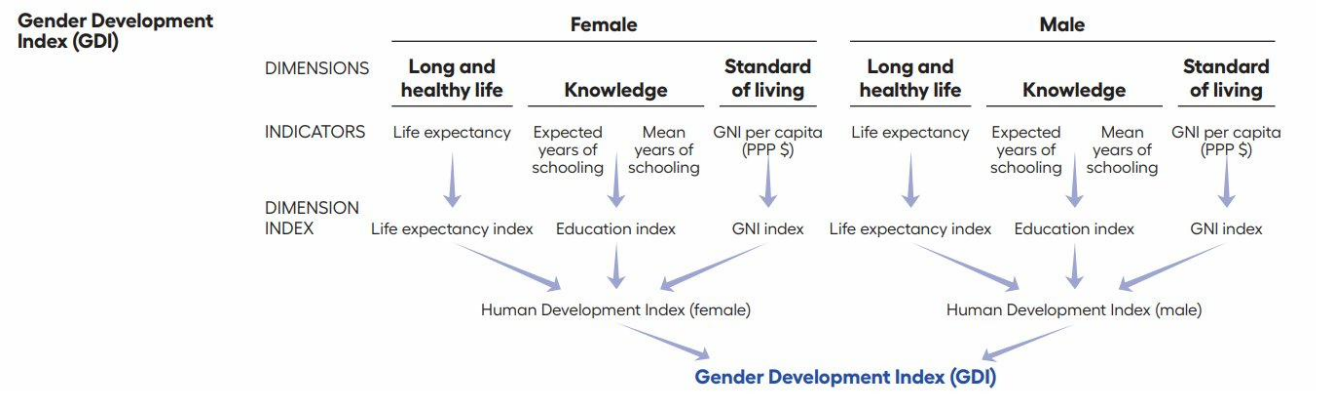
5.1.2 Inequality-adjusted HDI (IHDI)

- **Origin:** 2010 | **Released by:** UNDP
- Incorporates a **correction factor for inequality** within a country.
- While HDI measures average achievements, IHDI assesses the *distribution* of those achievements.
- Coverage is broadly the same as HDI, subject to data availability.

5.1.3 Gender Development Index (GDI)

Origin: 1990 | **Released by:** UNDP

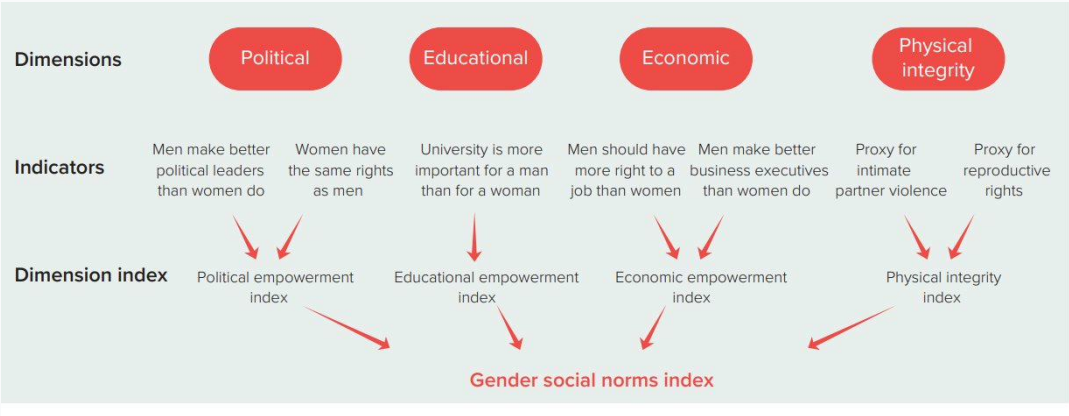
Purpose: Measure achievements across health, education, and standard of living by gender.

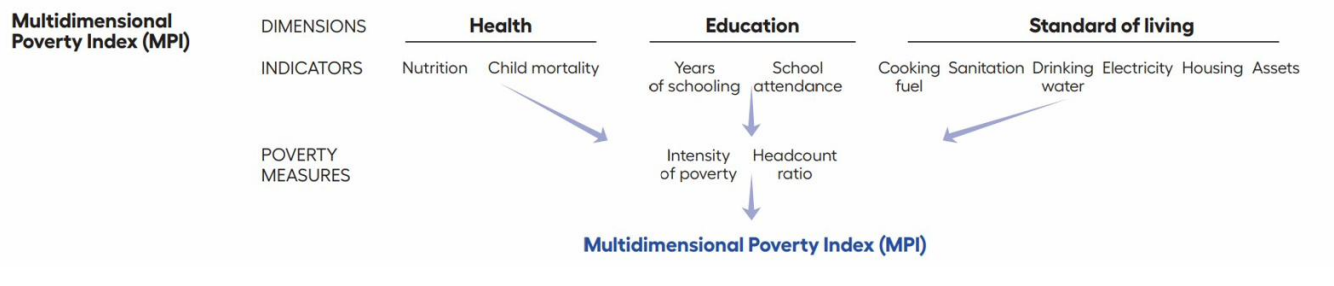


5.1.4 Gender Inequality Index (GII)

Origin: 1990 | **Released by:** UNDP

Reflects gender-based disadvantage in three dimensions: **reproductive health**, **empowerment**, and the **labour market**. Ranges from 0 (equality) to 1 (maximum inequality). A lower value = better performance.





5.1.5 Gender Social Norms Index (GSNI)

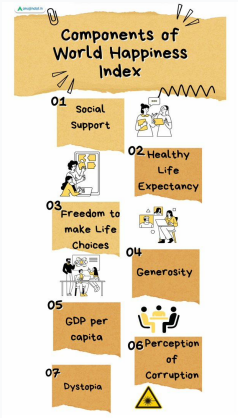
- **Origin:** 2019 | **Released by:** UNDP
- Quantifies biases against women across four dimensions: political, educational, economic, and physical integrity.
- Coverage: 91 countries (subject to change).

5.1.6 Multidimensional Poverty Index (MPI)

- **Origin:** 2010 | **Released by:** OPHI and UNDP
- Published annually in the Human Development Report.
- Shows *how* people are poor (not just who is poor) — covering all deprivations, identifying the poorest, and tracking policy effectiveness.
- Coverage: ~100 countries (subject to change).

TABLE: Global MPI - Dimensions, Indicators, Deprivation Cutoffs, and Weights

DIMENSIONS OF POVERTY	INDICATOR	DEPRIVED IF LIVING IN A HOUSEHOLD WHERE...	WEIGHT	SDG AREA
Health (1/3)	Nutrition	Any person under 70 years of age for whom there is nutritional information is **undernourished**.	1/6	SDG 2: Zero Hunger
	Child mortality	A child **under 18** has **died** in the household in the five-year period preceding the survey.	1/6	SDG 3: Health and Well-being
Education (1/3)	Years of schooling	**No** eligible household member has completed **six years of schooling**.	1/6	SDG 4: Quality Education
	School attendance	Any school-aged child is **not attending** school **up to** the age at which he/she would complete **class 8**.	1/6	SDG 4: Quality Education
Living Standards (1/3)	Cooking fuel	A household cooks using **solid fuel**, such as dung, agricultural crop, shrubs, wood, charcoal, or coal.	1/18	SDG 7: Affordable and Clean Energy
	Sanitation	The household has **unimproved** or **no** sanitation **facility** or it is improved but **shared** with other households.	1/18	SDG 6: Clean Water and Sanitation
	Drinking water	The household's source of **drinking water** is **not safe** or safe drinking water is a **30-minute** or **longer walk** from home, roundtrip.	1/18	SDG 6: Clean Water and Sanitation
	Electricity	The household has **no electricity**.	1/18	SDG 7: Affordable and Clean Energy
	Housing	The household has **inadequate** housing materials in **any** of the three components: **floor**, **roof**, or **walls**.	1/18	SDG 11: Sustainable Cities and Communities
	Assets	The household does **not own more than one** of these **assets**: radio, TV, telephone, computer, animal cart, bicycle, motorbike, or refrigerator, and does not own a car or truck.	1/18	SDG 1: No Poverty



5.2 Other Indices to Measure Economic Development

5.2.1 Genuine Progress Indicator (GPI): Alternative to GDP; accounts for income distribution, environmental degradation, household/volunteer work, and social factors. No single central authority — calculated by independent research institutions.

5.2.2 World Happiness Index (WHI): Origin: 2012 | Released by: UN Sustainable Development Solutions Network. Judges country success by the happiness of people.

5.2.3 OECD Better Life Index: Broader perspective beyond GDP. Doesn't provide a single ranking — users customise weights for 11 dimensions on the OECD website.

5.2.4 Physical Quality of Life Index (PQLI): Developed by economist Morris David Morris in the 1970s. Components: Basic Literacy Rate, Life Expectancy at Age 1, Infant Mortality Rate. Scores 0–100 (higher = better).

6.0 Developed vs Developing Economies

6.1 Introduction

World Bank's World Development Report categorises economies into three groups: **high income**, **middle income**, and **low income**. High income = developed/advanced; low income = underdeveloped. Developing economies are underdeveloped but show high growth potential.

6.2 Income-based Classification (World Bank 2024)

Category	GNI Per Capita Income (in US $)
Low income	$1,135 or less in 2022
Low middle income	$1,136 and $4,465
Upper middle income	$4,466 and $13,845
High income	$13,846 or more

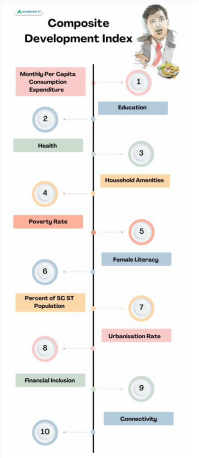
6.2.2 Development-based Classification

- **Developed Country (MEDC)** — Sovereign state with developed economy and advanced technological infrastructure. Example: USA.

- **Developing Country** — Less industrialised, based on primary activities but thriving toward services/mass production. Examples: China, India.
- **Least Developed Countries (LDCs)** — Low-income with severe structural impediments and high vulnerability. Examples: Somalia, Sudan.

6.3 Common Characteristics of Developing Countries

- Low GNP Per Capita
- Scarcity of Capital
- Rapid population growth and high dependency burden
- Low Levels of Productivity
- Technological Backwardness
- High Levels of Unemployment
- Low Human Wellbeing
- Wide Income Inequality
- High Poverty
- Agrarian Economy
- Low Participation in Foreign Trade



7.0 Composite Development Index

The **Raghuram Rajan Committee** (2013) submitted its report on a new **Underdevelopment Index** called the Composite Development Index, designed to determine the underdevelopment of Indian states.

The index has **10 sub-components**, each carrying equal weightage:

1. Monthly per-capita consumption expenditure
2. Education
3. Health
4. Household amenities
5. Poverty rate
6. Female literacy
7. Percentage of SC/ST population
8. Urbanisation rate
9. Financial inclusion
10. Connectivity

Remember

- Economic Growth is a subset of Economic Development.
- HDI = Health + Education + Standard of Living.
- A lower GII value indicates better gender equality.
- PQLI was the first composite alternative to GDP.
- Raghuram Rajan Committee (2013) → Composite Development Index for Indian states.